

The Twelve Silliest (and Most Dangerous) Things People Say About Stock Prices

I'm constantly amazed at popular explanations of why stocks behave the way they do, which are volunteered by amateurs and professionals alike. We've made great advances in eliminating ignorance and superstition in medicine and in weather reports, we laugh at our ancestors for blaming bad harvests on corn gods, and we wonder, "How could a smart man like Pythagoras think that evil spirits hide in rumpled bedsheets?" However, we're perfectly willing to believe that who wins the Super Bowl might have something to do with stock prices.

Moving back and forth from graduate school to my summer job at Fidelity, I first realized that even the most intelligent professors on the subject are as wrong about stocks as Pythagoras was about beds. Since then I've heard a continuous stream of theories, each as misguided as the last, which have filtered down to the general public. The myths and misconceptions are numerous, but I've written a few of them down: These are the Twelve Silliest Things People Say About Stock Prices, which I present in the hope that you can dismiss them from your mind. Some probably will sound familiar.

IF IT'S GONE DOWN THIS MUCH ALREADY, IT CAN'T GO MUCH LOWER

That's a good one. I'd bet the owners of Polaroid shares were repeating this very phrase just after the stock had fallen a third of the way along its long drop from a high of \$143½. Polaroid had been a solid company with a blue-chip reputation, so when the earnings collapsed and the sales collapsed, as we've already reported, a lot of people didn't pay attention to how overpriced Polaroid really was. Instead they continued to reassure themselves that if "it's gone down this much already, it can't go much lower," and probably also threw in "good